

EQUITY RESEARCH · COMPANY DEEP DIVE

Applied Materials, Inc. (AMAT.US)

Technology · Semiconductor Equipment & Materials

Large Cap (>\$200B) · Report Date: August 03, 2026

Latest financials: Q4 FY2025 · Model data as of 2026-08-03

OVERWEIGHT

Composite · Valuation: HOLD

Target \$553.07 · +7.4% upside

Price \$515.06

INVESTMENT HIGHLIGHTS

- **HOLD** — blended target \$553.07 (+7.4% vs \$515.06); Comps 80% + Analyst 20% valuation after outlier checks.
- Strong revenue growth; high operating margins; conservative balance sheet; strong roe; positive fcf generation
- FCFE DCF not used in target (low FCFE yield / growth equity); rely on comps where shown; analyst used only if not stale.

MULTI-PILLAR INVESTMENT SIGNAL

Pillar	Rating / Signal	Key Metric	Wt
Valuation	HOLD	Blended PT \$553.07	45%
FSA	Strong	Health +0.45 · Strong	20%
Technical	BULLISH	Bullish	20%
Quantitative	POSITIVE	Score +0.50 · 12m +188%	15%
Composite	OVERWEIGHT	Score +0.36 · 100% confluence	—

Valuation + technical aligned bullish; solid financial statement profile.

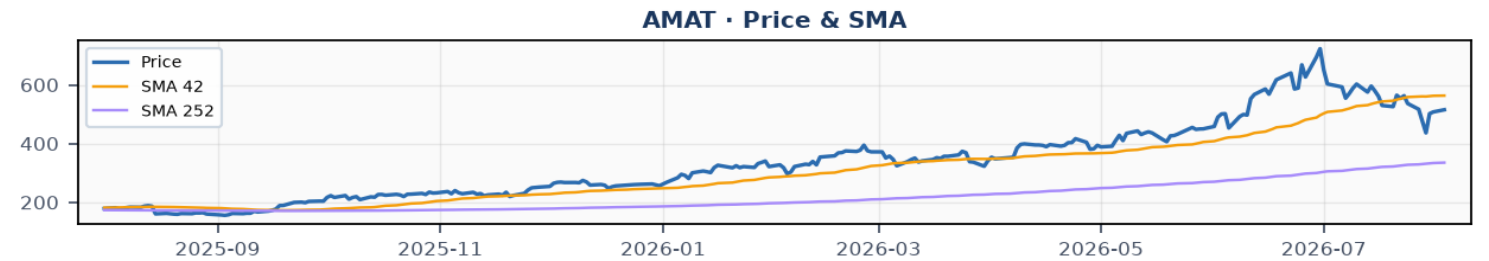
INVESTMENT THESIS / EXECUTIVE SUMMARY

Applied Materials, Inc. (AMAT) — Technology. Applied Materials, Inc. provides materials engineering solutions, equipment, services, and software to the semiconductor and related industries in the... **HOLD** rating; blended target \$553.07. See Investment Highlights above and valuation cross-check on page 2.

KEY DATA & MARKET HIGHLIGHTS

Item	Value	Item	Value
Market Cap	\$408.94B	Shares Out.	794.0M
52-Week Range	\$154.47 – \$739.67	P/E (TTM)	48.5x
P/B	17.1x	Beta	1.57
Avg Volume	9.78M	Analyst Rec.	Strong Buy
Revenue (TTM)	\$29.02B	Rev Growth	+11.4%
Op. Margin	31.9%	FCF (TTM)	\$5.70B
Gross Margin	49.0%	ROE	39.7%
EV/EBITDA	43.4x	Debt/Equity	30.4%
EPS (TTM)	\$10.61	Div Yield	42.0%

PRICE TREND · SMA 42 / 252



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FINANCIAL & VALUATION SUMMARY

(USD millions except per-share; A = actual, E = forecast)

Metric	FY 2024A	FY 2025A	FY 2026E	FY 2027E	FY 2028E
Revenue (\$M)	27,176	28,368	31,602	34,361	36,718
Revenue Growth (%)	N/A	4.4%	11.4%	8.7%	6.9%
Net Income (\$M)	7,177	6,998	7,796	8,476	9,058
Gross Margin (%)	47.5%	48.7%	49.0%	49.0%	49.0%
Net Margin (%)	26.4%	24.7%	24.7%	24.7%	24.7%
EPS (\$)	9.04	8.81	9.82	10.68	11.41
P/E (x)	56.98	58.44	52.46	48.24	45.15

TECHNICAL & QUANTITATIVE ANALYSIS

Metric	Value	Notes	Metric	Value	Notes
SMA (42d)	\$563.26	Short-term trend	12m Momentum	+188.3%	
SMA (252d)	\$335.03	Long-term trend	3m Momentum	+31.8%	
RSI (14d)	37.9	Momentum oscillator	Ann. Volatility	46.7%	
Trend	Bullish		Sharpe Ratio	0.57	Rf=4%
Golden Cross (20d)	No		Max Drawdown	-55.1%	
Death Cross (20d)	No		Rel. Strength vs SPY	+194.5%	
TA Signal	BULLISH	Price above SMA42; SMA42 > SMA252; SMA42=\$563.26, SMA252=\$335.03	Quant Score	+0.50	POSITIVE
			SMA Backtest (ann.)	43.9%	B&H; 50.4%

VALUATION CROSS-CHECK

Valuation Method	Implied Price	vs. Current	Weight in	Notes
DCF (FCFE)	\$124.94	-75.7%	0% (excluded)	DCF implied price < 35% of market (capex-heavy or d...
Comps — Blended	\$534.42	+3.8%	80%	Included in blend
Analyst consensus	\$627.66	+21.9%	20%	Included in blend
Blended target	\$553.07	+7.4%	100%	Comps 80% + Analyst 20%

DCF (FCFE) SUMMARY

Ke	Terminal g	FCFE growth	Equity value	Implied price	vs. Current
12.62%	4.00%	11.61%	\$99.20B	\$124.94	-75.7%

PEER COMPARISON · INDUSTRY CONTEXT

Ticker	Company	Market Cap	P/E	EV/EBITDA	Net Margin	Rev Growth
LRCX	Lam Research Corporati	\$366.59B	50.8x	42.2x	31.3%	+30.0%
KLAC	KLA Corporation	\$235.81B	49.3x	39.6x	35.6%	+15.2%
TER	Teradyne, Inc.	N/A	50.0x	38.1x	25.8%	+1.0%
ENTG	Entegris, Inc.	\$18.76B	71.2x	24.4x	8.2%	+5.0%
AMAT*	Applied Materials, Inc	\$408.94B	48.5x	43.4x	29.3%	+11.4%

* Subject company. P/e in line with peer median. Trends: Moderate revenue expansion (11.4% YoY); High operating leverage (31.9% margin); Above-market volatility (β=1.57) · Risks: Premium valuation (P/E: 48.5x); High market sensitivity in downturns Strong revenue growth; high operating margins; conservative balance sheet; strong roe; positive fcf generation. Source: Yahoo Finance. Not investment advice.